

- If, as seems clear, Tyco was not in the business of making things—but rather in the business of buying other companies that make things—then why were its MORON charges “nonrecurring”? Weren’t they just part of Tyco’s normal costs of doing business?
- And with accounting charges for past acquisitions junking up every year’s earnings, who could tell what next year’s would be?

In fact, an investor couldn’t even tell what Tyco’s *past* earnings were. In 1999, after an accounting review by the U.S. Securities and Exchange Commission, Tyco retroactively added \$257 million in MORON charges to its 1998 expenses—meaning that those “nonrecurring” costs had actually recurred in that year, too. At the same time, the company rejiggered its originally reported 1999 charges: MORON dropped to \$929 million while CHILLA rose to \$507 million.

Tyco was clearly growing in size, but was it growing more profitable? No outsider could safely tell.

CONCLUSION: In fiscal year 2002, Tyco lost \$9.4 billion. The stock, which had closed at \$58.90 at year-end 2001, finished 2002 at \$17.08—a loss of 71% in twelve months.^{[4](#)}

A Minnow Swallows a Whale

On January 10, 2000, America Online, Inc. and Time Warner Inc. announced that they would merge in a deal initially valued at \$156 billion.

As of December 31, 1999, AOL had \$10.3 billion in assets, and its revenues over the previous 12 months had amounted to \$5.7 billion. Time Warner, on the other hand, had \$51.2 billion in assets and revenues of \$27.3 billion. Time Warner was a vastly bigger company by any measure except one: the valuation of its stock. Because America Online bedazzled investors simply by being in the Internet industry, its stock sold for a stupendous 164 times its earnings. Stock in Time Warner, a grab bag of cable television, movies, music, and magazines, sold for around 50 times earnings.

In announcing the deal, the two companies called it a “strategic merger of equals.” Time Warner’s chairman, Gerald M. Levin, declared that “the